

from buying it. Agents don't like to sell term insurance because the commissions on such policies are low. It's pure self-interest on their part.

Most life insurance agents will instead urge you to buy what they may call a "permanent" insurance policy or a **cash value policy**. (For a sampling of some of their most common pitches, see the box on chapter 8.) With a cash value policy, the insurance company takes your annual premium and deducts sales and administrative charges, the actual insurance part, and a margin for profit. The remainder goes into a kind of savings account for you, generally called your cash value. The most common forms of cash value policies are **whole life**, **universal life**, and **variable life**. With whole life and universal life policies, the insurance company invests your cash value in bonds and various bond-like investments. With variable life policies, the insurance company offers you a choice of mutual fund-like investments to choose from, and you decide how to invest the cash value. Because of quirky rules in the tax law, the money in the savings account of a cash value life insurance policy grows tax-deferred and is tax-free (to your heirs, naturally) if held until death.

The cost of a cash value policy is usually much higher than that of a term policy for a young person. Even if you can afford it, it almost always makes sense to avoid cash value policies and buy term if you need life insurance. That's because the commissions and other expenses on most cash value policies are very high; they can be more than 150% of your first year's premium, and renewal commissions in subsequent years can be 5% to 8%. You're better off buying term insurance and investing the money you save in a tax-favored retirement savings plan like an IRA or a 401(k). In any case, many term policies can easily be converted into cash value policies down the line if you change your mind.

There's one set of circumstances, though, under which it's smart to buy a cash value life insurance policy. If you need life insurance and you're already putting the maximum allowable amount into tax-favored retirement savings plans, such as IRAs and 401(k)s, you may want to consider a **low-load** cash value policy, which has relatively low commissions and expenses. Low-load companies that sell cash value life policies include Ameritas (www.ameritas.com; 800-745-1112) and Columbus Life (www.columbuslife.com; 800-677-9595); if you or a parent has a military background, you might also explore USAA (www.usaa.com; 800-531-8722). Keep in mind that not all of these insurers sell policies in all states.